

1- Transformational leadership



Do Now

Read the three short extracts provided below



Steve Jobs, the famous co-founder of Apple, is one of the most well-known examples of transformative leadership. He was regarded as being one of the world's best creative and innovative problem solvers. His approach toward leadership was characterized by an ability to inspire and motivate his employees, which played a fundamental role in Apple's success. He imparted a clear vision to his employees in a manner that made them excited to work toward it. This capacity to create an exciting vision of the future sparked innovation and creativity in his teams, leading to the creation of groundbreaking products, such as the iPod and iPhone.



Jeff Bezos, the founder of Amazon, has revolutionized the e-commerce industry through his innovative thinking and relentless pursuit of customer satisfaction. He is known for taking calculated risks and being a visionary and inspirational leader. His remarkable contribution to Amazon's success includes pioneering the creation of the Kindle and expanding the company's product offerings, both of which have been instrumental in driving Amazon's success. With a market value of an astounding \$2.18 trillion as of November 2024, Bezos' transformational leadership has propelled Amazon to become the world's largest online retailer.



Oprah Winfrey started out as a brand in television, branched out into radio, magazines, movies, subsidiary TV shows, and then an entire network. She made all these happen by extending her brand strategically and is regarded as being one of the world's best entrepreneurs and a transformational leader. Oprah has amassed a

regarded as being one of the world's best entrepreneurs and a transformational leader. Oprah has amassed a strong group of mentors, peers, employees and customers that will follow her anywhere. Oprah leads by example, always focused on being the best she can be, she has become a role model for young women. Her nature and personality inspire and motivate people to take her advice, such as her "message live each day to the best you can".

Identify the main characteristics of a transformational leader

Using just this information - provide a definition for a transformational leader.



Learning Outcome

By the end of the lesson you will be able to explain the concept of transformational leadership and evaluate its impact on employee performance and organisational change

To Know



- I know what transformational leadership is and can identify its key characteristics (e.g. vision, inspiration, individualised consideration, intellectual stimulation).
- I know how transformational leaders influence motivation, innovation, and organisational culture.
- I know real or hypothetical examples of transformational leadership in practice.
- I know the benefits of transformational leadership (e.g. higher engagement, improved performance, adaptability).
- I know the limitations and challenges of implementing transformational leadership (e.g. dependence on leader's charisma, suitability in different business contexts).



You Do

Application, Analysis and Evaluation



Extract A

In the autumn of 2017, Tesco the UK's leading supermarket chain was in a crisis. The retail giant was making heavy losses, had lost market share to Aldi and Lidl and its customers were dissatisfied. The new CEO, Dave Lewis, radically changed the way things were done at Tesco. He set out to change the culture of Tesco and inspired and motivated his employees to work towards a shared vision. His immediate task was one of increasing profits rather than sales. He cut back on non-core loss making activities such as garden centres and online streaming service. He sold off underperforming stores and has also updated all Tesco's own brand products.

Fast forward to 2022; the business was again growing with its considerable growth plan. Tesco had made a profit for the year of £2.55bn compared to a £6.40bn loss in 2017 and the £22.05bn of long-term debt had

almost been halved.

However, some industry experts have commented that Tesco's performance had also been significantly aided by several external factors. There was a significant increase in UK retail sales in the first three years of his tenure. Consumer confidence had improved due to low interest rates and falling energy prices. Tesco had also benefited from two of its main rivals Asda and Morrisons performing poorly, which had led to both replacing their CEO. Also, changes in society, such as an ageing population and more single person households have resulted on customers making more frequent grocery trips to convenience stores, including Tesco Express outlets.

Extract B

A selection of Tesco's financial data – comparing 2017 to 2022

	2022 £bn	2017 £bn
Sales revenue	60.66	52.54
Gross Profit	5.41	(3.04)
Profit for the year	2.55	(6.40)
Current Assets	15.20	12.62
Inventories	3.40	3.20
Current Liabilities	13.10	13.05
Non-current liabilities	12.95	22.05
Capital Employed	56.30	52.74



Using the extract evidence

Identify the characteristics which suggest that Dave Lewis is a transformational leader

Using the financial data provided - assess the potential impact that his transformational leadership has had on the business's financial position

The extract suggests that other factors may have contributed to the improvements to Tesco's improved financial position

Explain why each factor may have improved Tesco's financial performance

Evaluate if the transformative leadership of Dave Lewis was the main reason for Tesco's improved financial performance

